The Trading Business: Tax, Compliance & Career

Part of The Complete Indian Market Trader — Zero to Professional (India, 2026)

Pro-grade, India-first: NSE/BSE, F&O, worked ₹ examples, current 2026 rules

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The retail trader opens a Zerodha account, funds ₹1 lakh, and starts buying Bank Nifty options on a hunch. There is no plan, no budget, no separation between the money that pays the electricity bill and the money at risk in the market. When a losing month arrives — and it will — the emotional and financial damage bleeds into daily life, forcing revenge trades and eventual account blow-up. SEBI's own study (Jan 2023, updated 2024) found roughly **93% of individual F&O traders lost money over FY22–FY24, average net loss around ₹2 lakh per trader**, and the loss-makers still paid enormous transaction costs. That is not a market problem; it is a business-model problem.

A professional does not "trade." A professional runs a small business whose product happens to be executed risk. Businesses have a plan, a capital base, fixed overheads, an income target grounded in reality, and a firewall between operating capital and the owner's household budget. This chapter builds that structure. Nothing here is about picking better trades — it is about surviving long enough for your edge (if you have one) to compound.

(Rules and figures date-stamped to 2026; verify on NSE/broker/SEBI — rules change.)

The essentials — treat capital, costs and income like a firm

1. Trading capital is risk capital only. Never fund your trading account with money you need in the next 3–5 years: rent, EMIs, school fees, emergency corpus. Rule of thumb used by full-timers: keep **12 months of living expenses** parked separately (liquid fund / FD) BEFORE a single rupee goes into the trading account. That buffer is what lets you trade calmly.

2. Fixed costs exist even if you never place a trade. A serious Indian retail desk pays, roughly:

Item	Typical annual cost (₹, 2026)
Broker AMC (demat)	300–500
Real-time data / TradingView Premium	15,000–35,000
News/scanner (e.g. Streak, Sensibull)	6,000–18,000
Charting hardware, dual monitor, UPS, internet	30,000–60,000 (amortised)
Accounting / CA fees (audit, ITR-3)	15,000–40,000
Baseline overhead	**≈ ₹70,000–1,50,000 / yr**

You must clear these costs *plus* transaction charges *before* you earn ₹1 of "profit."

3. Realistic ROI. Forget "double my money monthly." Professional prop desks target **20–40% a year** on trading capital and are thrilled with it. A skilled, consistent retail full-timer aiming for **2–4% net per month (~27–60% annualised)** is already in the top few percent — and most months will not hit it. Model your business at a conservative **15–25% annual net return** and treat anything above as upside.

4. Income you can actually withdraw. If you need ₹1,00,000/month to live and expect a sustainable 2%/month net, you need roughly **₹50 lakh of trading capital** just to draw that income without shrinking the base. Under-capitalisation is the single most common reason competent traders fail: the edge is real but the account is too small to pay a salary.

Worked example — sizing a full-time transition

Ravi, 32, Pune, wants to go full-time on index options and equity intraday. His numbers:

- Household expenses: **₹80,000/month = ₹9.6 lakh/yr**.
- Emergency + 12-month buffer set aside: **₹9.6 lakh** in a liquid fund (untouchable).
- Trading capital: **₹25 lakh**.
- Fixed business overhead: **₹1.2 lakh/yr** (data, tools, CA).

Target net return: a *conservative* 2%/month. On ₹25 lakh that is ₹50,000/month gross-of-drawdowns — **below** his ₹80,000 need. Conclusion: **Ravi is under-capitalised to go full-time.** The honest business decision is to stay **part-time** — trade the ₹25 lakh while keeping his ₹1.4 lakh/month job — until either the capital grows to ~₹45–50 lakh or he has 24 straight months of statements proving a withdrawable 3%/month. Many blow up precisely because they skip this arithmetic.

Contrast: had Ravi ₹60 lakh capital, 2%/month = ₹1.2 lakh, comfortably covering ₹80k expenses with a reinvestment cushion — a defensible full-time base.

How pros do it / common mistakes

How pros do it - Written business plan reviewed quarterly; capital, max drawdown, and monthly targets are numbers, not feelings. - **Pay themselves a salary** from a separate account monthly; profits above target are swept out or reinvested deliberately, never left to inflate position size unconsciously. - Track a **max-drawdown stop for the whole business** (e.g. "if the account falls 20%, I stop for a week and review"), just like a firm with a covenant. - Treat 24 months of live, costed statements as the minimum "proof of concept" before quitting a job.

Classic retail errors - Funding the account with rent/EMI money — one bad week and the mortgage is at risk. - Judging performance gross, ignoring the ₹70k–1.5 lakh overhead and the charge stack. - Scaling up size after three good weeks (variance, not skill) and blowing up on the fourth. - No 12-month buffer, so a normal losing streak triggers panic and revenge trading. - Quitting a stable job on a ₹5 lakh account expecting a ₹60k salary — mathematically impossible.

Red flags you're gambling, not running a business: you cannot state your monthly target, your max drawdown, or your annual overhead as exact rupee figures.

Checklist / drill — the trader business plan

Fill this in *before* your next funded month. If any line is blank, you are not ready to scale.

Trader Business Plan (one page) 1. **Mission / edge (1 line):** e.g. "Bank Nifty intraday momentum, 9:15–11:30 only." 2. **Trading capital (₹):** _ *— separate from living/emergency money? Y/N 3.* ***12-month living buffer parked separately (₹):*** *4.* ***Fixed annual overhead (₹):*** *data ___ + tools ___ + hardware ___ + CA ___ = _* ***5. Monthly net-return target (%) and rupee equivalent:*** *% = ₹_* ***6. Monthly salary you'll withdraw (₹):*** *7. Max whole-account drawdown before mandatory stop (%): _* ***8. Risk per trade (% of capital):*** (pros: 0.5–1%) 9. **Break-even: rupees of profit needed to cover overhead + costs:** _ ***10. Go/no-go rule for full-time: "24 months of statements showing ₹_ /month net AND capital ≥ ₹."***

Drill: Compute your true break-even. Annual overhead ÷ 12 + estimated monthly transaction costs = the profit you must make each month *just to not lose money as a business*. Most part-timers are shocked it exceeds ₹15,000/month. Know that number cold.

Taxation of Trading in India (FY2026-27)

Why this matters — the pro vs retail gap this closes

Most retail traders discover tax in July when the ITR deadline looms, panic, mislabel their F&O as "capital gains," skip the audit, and either overpay or invite a notice. A professional treats tax as a known, budgeted cost of doing business — booked monthly, with expenses tracked, losses carried forward, and advance tax paid on time. The difference is thousands of rupees and a clean record versus penalties and interest. Trading income in India is not one thing: **intraday equity, F&O, and delivery are taxed under three different heads**, and getting the head right is the whole game.

(All figures below are for FY2026-27 / AY2027-28, current as of 2026. Tax law changes every Budget — verify with a CA and on incometax.gov.in / the Finance Act before filing.)

The essentials — three heads, one trader

Activity	Tax head	How taxed	Loss carry-forward
Intraday equity (buy & sell same day, no delivery)	**Speculative business income**	Added to total income, taxed at slab	**4 years**, only against speculative gains
F&O (futures + options, equity/index/commodity/currency)	**Non-speculative business income**	Added to total income, taxed at slab	**8 years**, against any business income
Delivery equity (shares held in demat)	**Capital gains**	STCG (<12m): 20%; *LTCG (>12m): 12.5% above ₹1.25L exempt*	STCG loss 8 yrs; LTCG loss 8 yrs (LTCG loss only vs LTCG)

*STCG/LTCG rates were revised by Budget 2024 (STCG on STT-paid equity 20%, LTCG 12.5% with ₹1.25 lakh annual exemption) and carry into FY2026-27 unless further amended — **verify**.

Business income (intraday + F&O) means you file ITR-3, can deduct expenses, and may face a **tax audit u/s 44AB**.

Turnover computation for F&O (ICAI Guidance Note method): - **Futures:** turnover = **sum of absolute profits and losses** on each trade (not contract value). - **Options:** turnover = **sum of absolute profit/loss**. (Older guidance added premium on sale; the current ICAI Guidance Note (2023 revision) counts only absolute P&L for options too — **verify the edition your CA uses**.) - Intraday equity (speculative) turnover = sum of absolute profits and losses.

Tax audit u/s 44AB triggers (FY2026-27, verify): - Turnover **> ₹10 crore**: audit required *if* cash receipts/payments exceed 5% (almost all trading is digital, so the ₹10 cr limit applies). - If you **opted into 44AD presumptive earlier** and now declare profit **below 6%/8%** while income exceeds the basic exemption, audit is triggered at the lower ₹1–2 cr threshold. Most F&O traders simply keep **regular books** and stay under ₹10 cr — no audit unless losses/low-profit + presumptive history apply. This area is genuinely messy; a CA call is worth it.

Expenses deductible against business income: brokerage, STT (for business income STT is deductible — unlike capital gains), exchange & SEBI charges, GST on brokerage, internet, data subscriptions, advisory fees, depreciation on computer, a portion of rent/electricity (home office), salary to staff, CA fees.

Advance tax: business income is not TDS-covered, so you must pay advance tax in four instalments — **15% by 15 Jun, 45% by 15 Sep, 75% by 15 Dec, 100% by 15 Mar**. Miss it and interest u/s 234B/234C applies.

New-regime slabs FY2026-27 (default): 0–4L nil, 4–8L 5%, 8–12L 10%, 12–16L 15%, 16–20L 20%, 20–24L 25%, >24L 30%; rebate u/s 87A makes income up to ~₹12L effectively nil for residents (verify exact rebate ceiling).

Worked example — a full trader's computation

Meena, resident, FY2026-27. Her broker tax-P&L statement shows:

- **F&O (non-speculative):** net profit **₹6,00,000**; F&O turnover (abs P&L) ≈ ₹42,00,000.
- **Intraday equity (speculative):** net **loss ₹80,000**.
- **Delivery:** STCG **₹1,50,000**; LTCG **₹2,00,000**.
- **Business expenses:** internet ₹18,000, data/tools ₹40,000, laptop depreciation ₹15,000, CA fee ₹25,000, STT+charges on F&O ₹22,000 = **₹1,20,000**.

Step 1 — Business income (F&O): ₹6,00,000 − ₹1,20,000 expenses = **₹4,80,000** non-speculative business income.

Step 2 — Speculative loss: ₹80,000 intraday loss. It **cannot** offset F&O or salary — it is carried forward 4 years against future speculative gains. (It *can* offset other speculative income in the same year; she has none.)

Step 3 — Capital gains: STCG ₹1,50,000 taxed @20% = **₹30,000**. LTCG ₹2,00,000, minus ₹1.25L exemption = ₹75,000 @12.5% = **₹9,375**.

Step 4 — Total income for slab: F&O business ₹4,80,000 (slab-taxed). STCG/LTCG are taxed at their special rates, not slab. Turnover ₹42L < ₹10 cr and all-digital ⇒ **no tax audit** (assuming no presumptive history and profit not artificially low).

Step 5 — Advance tax: she must estimate this liability and pay across the four dates; underpayment attracts 234B/234C interest.

Meena files **ITR-3**, carries the ₹80,000 speculative loss forward, and keeps books + contract notes for scrutiny.

How pros do it / common mistakes

- **Pros book tax monthly:** they set aside ~30% of net business profit in a separate FD so advance-tax dates never hurt.
- They **download the broker's tax-P&L and ledger** (Zerodha Console, etc.) but reconcile it against contract notes — auto-reports occasionally mis-classify.
- They **never file F&O as capital gains** (a top-3 retail error that misstates turnover and blocks the 8-year loss carry-forward).
- They **file even in loss years** — filing the return on time is what *preserves* the loss carry-forward; a late return forfeits it.

Common mistakes: ignoring speculative-vs-non-speculative split; forgetting STT is deductible for business income; assuming no filing needed because "I lost money"; missing advance-tax dates; skipping the return, killing carry-forward.

Red flag: any "tax hack" that tells you to show F&O as long-term capital gains — that is wrong and audit-bait.

Checklist / drill

- ☐ Classify every trade: intraday-equity (spec), F&O (non-spec), delivery (CG).
- ☐ Download broker **tax-P&L + ledger + all contract notes** for the year.
- ☐ Compute F&O turnover = **sum of absolute P&L** (confirm ICAI edition with CA).
- ☐ List deductible expenses with invoices (data, internet, depreciation, CA, STT).
- ☐ Check audit u/s 44AB: turnover, cash %, presumptive history.
- ☐ **File ITR-3 on time** to lock in loss carry-forward (spec 4y / non-spec 8y).
- ☐ Pay **advance tax** 15 Jun / 15 Sep / 15 Dec / 15 Mar.
- ☐ Set aside ~30% of net business profit monthly for tax.

Drill: Take last month's broker P&L and split it into the three heads by hand, then compute F&O turnover as sum of absolute P&L. Estimate the slab tax on the business portion. Do this monthly and advance tax never surprises you. *Verify everything with a CA — 2026 rules change.*

Costs, Record-Keeping & P&L

Why this matters — the pro vs retail gap this closes

Ask a retail trader "what did that Bank Nifty scalp actually cost you?" and you get a blank stare. They watch the gross P&L on Kite and assume that's the money. It isn't. The Indian charge stack — brokerage + STT + exchange txn + SEBI + GST + stamp duty — silently eats the edge, and for high-frequency options traders it is frequently the difference between a positive gross strategy and a negative net one. SEBI's FY24 data showed loss-making F&O traders paid **~28% of their net losses as transaction costs**; even profitable ones bled a big slice. The professional knows their cost-per-round-trip to the paisa, tracks **net** returns only, and keeps books clean enough to survive an audit. This chapter turns cost-blindness into cost-mastery.

(Rate structure current as of 2026; STT figures reflect the 01-Apr-2026 Budget-2026 changes. Verify on your broker's charge sheet, NSE circulars, and SEBI — rules change.)

The essentials — the full charge stack

Every trade in India is hit by a stack of charges. As of **01-Apr-2026**:

Charge	Equity delivery	Equity intraday	Futures	Options
Brokerage	₹0 or flat (broker)	flat ₹20/order (typical)	flat ₹20/order	flat ₹20/order
STT	0.1% buy + 0.1% sell	0.025% on **sell**	~0.05% on **sell**	~0.15% on **premium (sell)** & on exercise
Exchange txn charge	~0.00297%	~0.00297%	~0.00173%	~0.03503% on premium
SEBI charge	₹10 per crore	₹10 per crore	₹10 per crore	₹10 per crore
GST	18% on (brokerage + txn + SEBI)	same	same	same
Stamp duty	0.015% buy	0.003% buy	0.002% buy	0.003% buy

(Commodities: add **CTT ~0.01% on sell** for non-agri futures. Rates are indicative — pull exact numbers from your broker.)

Key truths: - STT and exchange txn on options are on **premium**, not notional — but options premium turnover is huge, so it adds up fast. - GST applies to brokerage + txn + SEBI charges, not to STT/stamp. - **Contract note** is the legal record: it lists every charge line-by-line per trade, is issued daily (T-day), and is what your CA/audit relies on. Reconcile it, don't trust screen P&L.

Worked example — one Bank Nifty option round-trip

Bank Nifty lot size **35** (verify current lot with NSE — it changes). You buy 1 lot of a weekly call at premium **₹300** and sell at **₹340**. (Illustrative option txn/STT rates used; confirm live.)

Gross: (340 − 300) × 35 = **+₹1,400**.

Now the costs: - **Brokerage:** ₹20 buy + ₹20 sell = **₹40**. - **STT** (0.15% on sell premium): 0.0015 × (340 × 35) = 0.0015 × 11,900 = **₹17.85**. - **Exchange txn** (~0.03503% on both legs' premium): 0.0003503 × (300×35 + 340×35) = 0.0003503 × (10,500 + 11,900) = 0.0003503 × 22,400 = **₹7.85**. - **SEBI:** ₹10/crore × 22,400 turnover ≈ **₹0.02**. - **GST** (18% on brokerage + txn + SEBI): 0.18 × (40 + 7.85 + 0.02) = **₹8.62**. - **Stamp duty** (0.003% on buy premium): 0.00003 × 10,500 = **₹0.32**.

Total charges ≈ ₹74.66. Net P&L = 1,400 − 74.66 = ₹1,325.34.

That single trade lost **~5.3% of gross to costs**. Now imagine a scalper doing 20 round-trips a day: even at a ₹40-tick win each, costs compound, and on **losing** or break-even trades the charges are pure bleed. A trader who is right 55% of the time on ₹40 moves can still be **net negative** once the stack is applied. This is why costs, not signals, decide F&O survival.

How pros do it / common mistakes

How pros do it - They compute a **cost-per-round-trip** for each instrument and bake it into the strategy: a scalp must clear its cost by a comfortable margin before it's worth taking. - They track **net (post-cost) returns** in their own sheet, reconciled against the broker's **tax-P&L and ledger** (Zerodha Console, Groww reports) — never eyeball P&L. - They **read contract notes daily**, matching every charge line; discrepancies (wrong STT, extra brokerage) get raised immediately. - They keep **digital books**: trade log, ledger, contract notes, bank statements, expense invoices — organised monthly so year-end audit/ITR-3 is a formality. - They favour **fewer, higher-conviction trades** partly because each trade carries a fixed cost drag.

Common mistakes - Judging a strategy on gross backtest P&L with **zero cost modelling** — the classic reason paper-profitable systems lose real money. - Over-trading: 50 trades/day where the edge per trade is smaller than the round-trip cost. - Never downloading contract notes; discovering at audit time the records are a mess. - Confusing broker "brokerage" (small) with total charges (the stack) and underestimating STT on options.

Red flags: you don't know your per-trade cost; your win-rate looks fine but the account keeps shrinking (costs eating you); no organised records when the CA asks.

Checklist / drill — record-keeping

Monthly bookkeeping checklist - ☐ Download **all contract notes** (daily) and archive by month. - ☐ Download broker **tax-P&L statement** and **funds ledger**. - ☐ Update personal **trade log**: date, instrument, qty/lots, entry, exit, gross, charges, net. - ☐ Reconcile trade-log net vs broker tax-P&L — investigate any mismatch. - ☐ File **expense invoices** (data, internet, tools, CA) for deduction. - ☐ Compute **net (post-cost) return %** for the month — the only number that counts. - ☐ Note **total charges paid** this month as a % of gross P&L (your cost drag).

Drill: Take your last 20 trades. For each, compute the exact charge stack (use the table above) and subtract it. Now recompute your win-rate and average net-per-trade. Most traders find their real edge is **half** what the gross numbers suggested — and some discover they're net negative. Repeat monthly until cost-awareness is automatic. *Verify all rates on your broker's live charge list — 2026 rules change.*

SEBI, Regulation & Staying Safe

Why this matters — the pro vs retail gap this closes

The Indian retail trader loses money two ways: to the market, and to the ecosystem of people who prey on retail traders. Telegram "sure-shot" tip channels, fake "SEBI-registered" advisors, unregistered PMS pitches promising 10%/month, and copy-trading scams strip more wealth from beginners than any bad chart pattern. Meanwhile, honest ignorance of the rules — trading on a friend's tip that turns out to be insider information, or running a banned open-API algo — can land a trader in a SEBI enforcement action. A professional knows exactly **what retail is allowed to do, who is legally permitted to advise them, and how to spot a scam in ten seconds**. This chapter is your legal and safety perimeter.

(All rules current as of 2026; verify on sebi.gov.in, NSE/BSE circulars, and the SCORES portal — regulations change.)

The essentials — the rules that protect you

What retail is allowed. You can trade cash equity, F&O (index, stock, currency, commodity), ETFs, bonds — through a **SEBI-registered broker** with a demat at **NSDL or CDSL**. You may use your broker's tools and *registered* APIs. You may **not**: use banned open APIs for algos, take positions on **UPSI** (unpublished price-sensitive information), or run an unregistered advisory/PMS for others.

The 2026 retail algo framework (mandatory from 01-Apr-2026). SEBI now regulates retail algorithmic trading: - Every algo order must carry an **exchange-issued Algo-ID** (tagged and traceable). - **Open/unauthenticated APIs are banned.** Retail algos run **only via a registered broker's API with proper authentication**. - Orders above **10 orders/second** need exchange approval/registration. - The **broker is responsible** for algos on its platform; **third-party algo vendors must tie up with a registered broker** and register the strategy. - Practical effect: the era of plugging a random GitHub bot into an open API is over. If a vendor offers you an "unlimited open-API algo," it is now **illegal** — walk away.

Insider trading & UPSI (SEBI PIT Regulations, 2015 as amended). Trading on unpublished price-sensitive information — a results leak, an unannounced merger, a tip from someone inside the company — is a **criminal offence** with disgorgement, heavy penalties, and bans. This includes acting on a WhatsApp forward of "results before announcement." If information isn't public, you cannot trade on it.

Who may legally advise you. Only two categories: - **SEBI Registered Investment Adviser (RIA)** — can give personalised advice for a fee; must disclose registration number, act as a fiduciary. - **SEBI Registered Research Analyst (RA)** — can issue research/recommendations with disclosures. Anyone else giving buy/sell calls for money — Telegram admins, YouTubers running paid groups, "PMS" operators below the ₹50 lakh regulated threshold — is **operating illegally**. Verify any adviser on the **SEBI RIA/RA public list** by their registration number.

Portfolio Management Services (PMS) is legitimate but has a **₹50 lakh minimum** and must be SEBI-registered. Anyone pooling smaller amounts "as a PMS" is running an unregistered scheme — a scam.

Worked example — spotting the scam in real time

Arjun gets a Telegram invite: "*SEBI-certified Bank Nifty experts — 90% accuracy, ₹5,000/month, join VIP for jackpot calls. Send screenshots of profit for testimonials.*" He does three checks:

1. **Registration:** The channel claims "SEBI-certified." Arjun searches the **SEBI RA/RIA list** for the name/number. Not found. → *Red flag: no registration; "certified" is meaningless — only "registered" counts.*
2. **Claim:** "90% accuracy, jackpot calls." SEBI **bars registered advisers from promising assured/guaranteed returns.** A real RA never advertises accuracy percentages or "jackpots." → *Red flag.*
3. **Model:** Pay a subscription, get calls in a group, no risk disclosure, no fiduciary duty, testimonials harvested to recruit more. Classic **tip-seller pump**: admins often hold positions and dump on followers. → *Red flag.*

Arjun leaves. Contrast: a genuine RIA gives him a signed agreement, a registration number he verifies on sebi.gov.in, risk profiling, fee transparency, and **never** guarantees returns. Cost of the lesson if he'd stayed: subscription fees plus losses on pumped calls, which SEBI studies repeatedly show run into the tens of thousands per victim.

How pros do it / common mistakes

How pros do it - **Verify every adviser** against the SEBI RA/RIA list before paying a rupee; keep the registration number on file. - Treat any **guaranteed-return / fixed-% monthly** pitch as automatically fraudulent — SEBI prohibits it, and markets can't deliver it. - Use **only registered broker APIs** for automation, with a proper Algo-ID; never touch an "open API" workaround post-01-Apr-2026. - **Never trade on non-public information**, however tempting — the legal downside dwarfs any gain. - Keep records and know the **SCORES** grievance route.

Common mistakes / red flags - Joining paid Telegram/WhatsApp "tip" groups and copy-trading strangers. - Believing "SEBI-certified/approved" — SEBI **registers**, it never "approves" or "certifies" tipsters or returns. - Handing money to an unregistered "PMS" or "fund manager" pooling small tickets. - Acting on leaked results / insider tips. - Running or buying banned open-API algo bots.

Ten-second red-flag scan: guaranteed/assured returns • accuracy % or "jackpot" claims • urgency ("last 2 seats") • pay-to-join calls with no registration number • profit-screenshot marketing • asking you to trade in *their* account or share login. Any one = walk away.

Checklist / drill — stay-safe checklist

- ☐ Adviser has a **verifiable SEBI RIA or RA registration number** (checked on sebi.gov.in).
- ☐ No **guaranteed / assured / fixed-%** return promise anywhere.
- ☐ No **accuracy-%, "jackpot," or urgency** marketing.
- ☐ PMS pitch: SEBI-registered **and** ≥ ₹50 lakh minimum — else refuse.
- ☐ Automation only via **registered broker API with Algo-ID**; no open APIs.
- ☐ You are **not** trading on any non-public / insider information.
- ☐ You never share broker login or trade in someone else's account.
- ☐ You know how to file a complaint on **SCORES** (scores.sebi.gov.in).

Grievance path: first raise with the broker/adviser in writing; if unresolved in ~30 days, escalate on **SCORES** (SEBI's complaint portal); disputes with brokers can also go to **exchange investor grievance / arbitration**. Keep contract notes and communications as evidence.

Drill: Take the last three "tips" or advisory pitches you've seen (Telegram, YouTube, a friend). Run each through the ten-second red-flag scan and try to find a real SEBI registration number. You will likely find **zero** are registered — proof of how much of the retail information diet is unregulated noise or outright fraud. *Verify all of the above on SEBI/NSE/BSE — 2026 rules change.*

Scaling Capital: Prop Firms, Funded Accounts & Licensing

Rules and figures stamped as of 2026. Verify on NSE/SEBI/broker sites before acting — regulations change.

Why this matters — the pro vs retail gap this closes

The single hardest wall a good retail trader hits is not skill — it is capital. A trader with a genuine edge who compounds a Rs 3 lakh account at even a spectacular 5% a month is making Rs 15,000 in month one. That is not a living in an Indian metro. So the ambitious retail trader starts hunting for other people's money: "funded account" ads, prop-desk offers, or the idea of managing friends' and family capital.

This is exactly where the industry preys on retail. The gap the pro closes is knowing what is a real capital-scaling path, what is a marketing funnel dressed as one, and — critically — what crosses a SEBI legal line that can end in a ban or prosecution. Getting this wrong is not a bad trade; it is a career-ending or criminal event.

The essentials — the honest Indian landscape

1. Offshore "funded account" / evaluation firms. The model you see advertised (FTMO-style: pay a fee, pass a demo "challenge," get a "funded" account, keep 70-90% of profits) is overwhelmingly built on **forex, indices CFDs, and crypto** — instruments that are **illegal for Indian residents to trade** except through SEBI/RBI-permitted channels. Under FEMA and RBI's Liberalised Remittance Scheme, remitting money abroad for margin/leveraged forex or CFD trading is **not a permitted purpose**; RBI has publicly named unauthorised electronic forex platforms. So the "funded" account is usually: - a **demo/simulated** account (you never trade real markets — the firm profits from your challenge fees), and - denominated in instruments you legally cannot trade from India anyway.

Treat the entire offshore-prop-challenge category as, at best, a paid trading game and, at worst, a scam plus a FEMA violation. The recurring red flags: upfront fees to "qualify," profit targets that require reckless sizing, payout rules that quietly disqualify winners, and no SEBI registration.

2. Domestic Indian prop trading. Real proprietary trading in India is done by **NBFCs, member-broker prop desks, and registered trading firms** using the firm's own capital. These are jobs, not products you buy. They hire quantitative and execution talent (often via NISM certifications, a track record, and interviews). There is **no legitimate "pay us and we fund your retail F&O account"** business in the domestic regulated market — the SEBI retail algo framework (mandatory 01-Apr-2026) further tightened who can place orders and through whose API.

3. Managing other people's money — the licensing wall. The moment you take someone else's money (or even advice fees) you leave "trader" and enter **SEBI-regulated intermediary** territory:

Activity	Registration needed	Can you manage/trade their money?
Publishing research / recommendations	**NISM-XV** + SEBI **Research Analyst (RA)** registration	No — recommendations only
Personalised investment advice for a fee	**NISM-X A & B** + SEBI **Investment Adviser (IA)**	No — advice only, client executes
Actually managing a pooled/discretionary portfolio	**Portfolio Manager (PMS)** licence	Yes — but **Rs 50 crore** min net worth, **Rs 50 lakh** min client ticket
Pooling money into a fund	**AIF (Alternative Investment Fund)**	Yes — Category III for trading; heavy compliance, min Rs 1 crore investor commitment

Running an unregistered "I'll trade your account for a profit share" arrangement — even for relatives beyond a point, and definitely for the public — is **unregistered portfolio management / investment advice**, which SEBI actively prosecutes with disgorgement and bans.

Worked example — the realistic capital-to-income math

Assume you genuinely have a tested edge producing **4% net per month** (extraordinary and rare — most who claim it are curve-fit; see the next chapter).

- **Own capital Rs 5,00,000** → Rs 20,000/month. Trading two Nifty lots (lot size 75, index ~24,000 → notional ~Rs 18 lakh per lot) already needs ~Rs 2.5-3 lakh SPAN+exposure margin, so Rs 5 lakh is realistically a 1-2 lot account. Income: sub-minimum-wage-of-your-skill.
- **Own capital Rs 25,00,000** → Rs 1,00,000/month gross, before your ~Rs 60,000/year in charges scale up and before tax (F&O = non-speculative business income, taxed at slab; audit u/s 44AB may trigger on turnover).

The lesson pros internalise: **income = edge x capital x consistency.** You cannot shortcut the capital leg by buying a "funded" account. The only legal accelerators are (a) years of your own compounding, (b) getting hired onto a real prop desk, or (c) building the net worth to register as PMS/AIF. There is no fourth door — anything advertising one is selling the funnel.

How pros do it / common mistakes

How pros scale legally: - Compound their **own** capital first, proving a live track record they can actually show. - If quant-inclined, get **hired** by a broker prop desk or HFT/prop firm — the firm's capital and infra, your salary + bonus. - If they want to manage money, they **register** (RA/IA) or partner with a licensed PMS/AIF rather than run a grey pool.

Classic retail mistakes / red flags: - Paying challenge fees to offshore "prop" firms — funding the firm, not getting funded. - Assuming a demo pass equals live skill (no slippage, no emotional real-money pressure, no Indian charges/STT). - Taking friends'/family money on a profit-share handshake — unregistered PMS; when it loses (it will, some months), you face legal and relationship ruin. - Advertising "join my telegram, I'll double your capital" — unregistered advice, SEBI ban risk.

Checklist / drill

Before pursuing any "scale my capital" opportunity, run this gate:

- ☐ Is the counterparty **SEBI-registered**? Verify the registration number on sebi.gov.in. No number → walk away.
- ☐ Are the instruments **legally tradable by an Indian resident** (NSE/BSE/MCX), not offshore forex/CFD/crypto?
- ☐ Is there an **upfront fee to "qualify"**? That is the product being sold. Red flag.
- ☐ Is it a **real live account** or a simulator? Ask for the exchange, broker, and a payout audit trail.
- ☐ If I'm taking others' money: do I hold **RA / IA / PMS / AIF** registration for what I'm actually doing? If not, **stop**.
- ☐ Have I written down my **edge x capital x consistency** income math with real charges and slab tax? Is the number honest?

Drill: Calculate your own realistic monthly income at your *current* capital and a *conservative* 2% net edge, after Indian charges and slab tax. If that number is not a living, your project for the next 12 months is compounding your own capital and building a verifiable track record — not chasing a funded account. Re-run this math quarterly.

Developing a Real Edge (Why Most Lose)

Figures and rules stamped as of 2026. Verify SEBI studies, STT and tax rules on official sites — they change.

Why this matters — the pro vs retail gap this closes

Almost every retail trader believes they have an "edge" — a chart pattern, an indicator combo, a gut feel for Bank Nifty. Almost none of them have measured it. That is the whole gap. A professional does not ask "is this a good setup?"; they ask "what is my expectancy per trade, net of all Indian charges, over a large sample, and is it reliably positive?" If you cannot state that number, you do not have an edge — you have a hobby with a P&L that trends, remorselessly, toward the broker and the exchange.

This chapter defines what an edge actually is, where real ones come from, why the data says ~90% of you will lose, and how to test — honestly — whether *you* are the exception.

The essentials — what an edge is, and the odds

An edge is positive expectancy after costs. Formally, per trade:

> Expectancy = (Win% x Avg Win) − (Loss% x Avg Loss) − Costs

If that number is positive over hundreds of trades, you have an edge. If it's zero or negative, no amount of position sizing, "discipline," or motivation fixes it — sizing only changes how fast you arrive at ruin.

The Indian reality check (SEBI studies). SEBI's studies on individual traders in the equity F&O segment found the picture that every serious trader must internalise: - Roughly **9 in 10 individual F&O traders lost money.** - Aggregate individual losses ran into **tens of thousands of crores** in a single financial year. - The **average loser** lost around Rs 1-1.2 lakh (plus transaction costs on top), while a small minority of profitable traders captured most of the gains. - **Transaction costs alone** ate a meaningful chunk (often ~20-30%) of turnover for active traders — before any trading skill even entered the equation.

(Verify the latest SEBI F&O study on sebi.gov.in; figures are updated periodically.)

Why costs are the silent killer in India. Every round trip stacks: brokerage + STT (options ~0.15% on sell premium, from 01-Apr-2026) + exchange transaction charge + SEBI turnover fee + **18% GST on brokerage+txn** + stamp duty. A trader taking 10 option round-trips a day is paying this rake every single time. You must beat the market *and* this rake. Most "edges" are real gross and negative net — the market gives, the cost stack takes.

The four real sources of edge:

Source	What it means	Available to retail?
Information	Knowing something the price doesn't yet reflect	Rarely, legally — insider info is illegal
Speed	Reacting faster than others (HFT, co-location)	No — that's a funded prop/tech game
Discipline / behaviour	Exploiting others' fear, greed, forced exits	**Yes — the main retail edge**
Structure	Superior position sizing, cost control, risk mgmt, tax efficiency	**Yes — fully in your control**

Retail's honest edge is almost never information or speed. It is **behavioural and structural**: patience to trade only high-expectancy setups, ruthless cost discipline, correct sizing, and cutting losers — doing what the 90% cannot emotionally do.

Worked example — measuring your expectancy

Say you trade a Bank Nifty option-buying setup. Over a **200-trade** sample (large enough to matter) you log:

- Win rate: **40%** (80 wins, 120 losses)
- Avg win: **Rs 6,000**; Avg loss: **Rs 3,000**
- Cost per round trip (all-in, incl. STT/GST): **Rs 250**

Gross expectancy = (0.40 x 6,000) − (0.60 x 3,000) = 2,400 − 1,800 = **+Rs 600/trade.** Net expectancy = 600 − 250 = **+Rs 350/trade.**

Over 200 trades: +Rs 70,000. **This is a real edge** — modest, but positive and survivable.

Now the retail trap. Same setup, but the trader over-trades marginal signals, dropping win rate to 33% and avg win to Rs 5,000: Gross = (0.33 x 5,000) − (0.67 x 3,000) = 1,650 − 2,010 = **−Rs 360.** Net = −Rs 610/trade. Over 200 trades: **−Rs 1,22,000.** Identical "strategy," destroyed by execution and cost. The edge lived and died in the discipline, not the chart.

How pros do it / common mistakes

How pros build and protect an edge: - They **backtest and forward-test** a defined setup over a large sample *including realistic Indian costs and slippage* — not a hand-picked dozen screenshots. - They **keep a trade journal** with entry reason, size, and outcome, then compute expectancy monthly. - They **do less**: they wait for the specific conditions where expectancy is positive and pass on everything else. Fewer trades = lower cost drag = higher net edge. - They treat **cost and tax as part of the strategy**, not an afterthought.

Classic retail errors / red flags: - Confusing a *winning streak* with an edge — variance masquerading as skill over a tiny sample. - **Curve-fitting**: tuning indicators until they perfectly explain the past; it collapses live. - Never subtracting costs — a "profitable" system that's net-negative after STT+GST. - Over-trading out of boredom, revenge, or FOMO — the fastest path into the 90%. - Believing tips/telegram calls constitute an edge (they're someone else's exit liquidity).

Checklist / drill

Test whether **you** have an edge:

- ☐ Do I have a **written, rule-based setup** — entry, exit, stop, size — that another person could execute identically?
- ☐ Do I have a **sample of at least 100-200 real trades** logged (or an honest backtest with slippage)?
- ☐ Have I computed **net expectancy** = (Win% x AvgWin) − (Loss% x AvgLoss) − Costs, with the **full Indian cost stack** included?
- ☐ Is that number **positive and stable** across different market regimes (trending, ranging, high-vol)?
- ☐ Do I know **which of the four sources** (info/speed/discipline/structure) my edge actually comes from? (If you can't name it, you probably don't have one.)

Drill: Take your last 50 trades. Compute net expectancy per trade including all charges. If it's negative, do **not** add capital or size up — your job for the next month is to find the subset of setups where it's positive and trade only those, on paper if needed. Re-measure. An edge you can't measure is an edge you don't have.

The Professional Routine & 12-Month Development Plan

Rules, STT and tax figures stamped as of 2026. Verify on NSE/SEBI/broker before acting — they change.

Why this matters — the pro vs retail gap this closes

Retail traders think the game is *finding the trade*. Professionals know the game is *the process around the trade* — the pre-market prep, the fixed routine, the journaling, the review, the capital discipline, and the patience to scale only when metrics earn it. The retail trader opens Kite at 9:14, chases the first green candle, and calls it "trading." The pro has already done an hour of work before 9:15 and will do 30 minutes of review after 15:30. This chapter is the capstone: it turns everything in this book into a repeatable operating system and a concrete 12-month path from beginner to consistent.

The essentials — the professional's routine

Indian market hours: **pre-open 09:00-09:15, continuous 09:15-15:30, closing session to ~16:00.** The pro structures the day around them.

Daily routine:

Time	Activity
08:15-09:00	Global cues (US close, SGX/GIFT Nifty, USDINR), overnight news, F&O results/expiry calendar, prior-day levels
09:00-09:15	Read pre-open auction; mark Nifty/Bank Nifty support-resistance, note gap and India VIX
09:15-09:45	Observe — the noisiest, most expensive period; pros usually wait, don't chase the open
09:45-15:00	Execute only pre-defined setups; log every trade live (entry reason, size, stop)
15:00-15:30	Manage/close intraday; avoid fresh risky entries into close
15:30-16:00	**Journal + review**: screenshot, tag setup, note emotion, compute the day's expectancy

Weekly: review all trades for the week, recompute win% / avg win / avg loss / net expectancy, note the single biggest mistake, check upcoming events (RBI policy, expiry — Nifty/Bank Nifty weekly expiries, results, US Fed).

Monthly: full P&L reconciliation *including* the whole cost stack (brokerage + STT + exchange + SEBI + 18% GST + stamp); update the metrics dashboard; check the **scaling gates** (below); set aside **advance-tax** provision (F&O = non-speculative business income, slab rates FY2026-27).

The scaling gates — never size up on hope, only on metrics: - ☐ **Positive net expectancy** over a 100+ trade sample (post all costs) - ☐ **Max drawdown** within your plan (e.g. < 15% of capital) - ☐ **Rule**

adherence > 90% of trades taken per plan (journal-verified) - ☐ **3 consecutive profitable months** on the current capital

Only when all four are green do you increase size — and then by a step (e.g. +50%), not a leap.

Worked example — capital progression through the gates

A trader starts with **Rs 3,00,000**, risking a disciplined **1% (Rs 3,000) per trade.**

- **Months 1-3 (survival & measurement):** Trade 1 Nifty lot (lot 75) or defined-risk option spreads. Goal is *not* profit — it is a clean journal of 100+ trades and a measured expectancy. Assume near break-even after costs. Capital ~Rs 2.9-3.1L.
- **Months 4-6 (proving the edge):** Net expectancy measured positive (say +Rs 300/trade, next chapter's method). At ~40 trades/month → ~+Rs 12,000/month gross. Gates start turning green. Capital ~Rs 3.3L.
- **Months 7-9 (first scale):** Three green months achieved → size up to 2 lots. Same edge on ~2x size → ~Rs 25,000/month. Reinvest; capital ~Rs 4.0L. Provision advance tax.
- **Months 10-12 (consistency):** Hold 2-3 lots, drawdown controlled, adherence > 90%. Consistent ~Rs 30,000-40,000/month. Capital approaching ~Rs 5L, now a *proven, journaled* track record — the only legitimate ticket to more capital (own compounding, a prop-desk job, or eventual registration).

Note how modest the money is. That honesty is the point: year one's deliverable is a **verified edge and unbreakable process**, not wealth. Wealth is edge x capital x time, and in year one capital and time are small.

How pros do it / common mistakes

How pros operate: - Fixed routine every single day — the process is the edge, not any one trade. - Journal is non-negotiable; if it isn't logged, it didn't happen. - Scale by metrics, not emotions; cut size fast in drawdown. - Treat trading as a **business**: costs, taxes (ITR-3, audit u/s 44AB on turnover thresholds, loss carry-forward — non-speculative 8 yrs), and record-keeping are part of the job.

Classic retail mistakes: - No routine — trading reactively off notifications and tips. - Sizing up after a lucky streak (variance), or revenge-sizing after a loss. - No journal, so the same mistake repeats forever. - Ignoring costs and tax until 31 July, then discovering the "profit" was the broker's.

Checklist / drill — the 12-month plan

Month-by-month:

1. **M1:** Set up Kite/TradingView, journaling sheet, and a written rulebook. Paper/1-lot only. Learn the cost stack cold.
2. **M2:** Trade 1 lot / defined-risk spreads. Log 40+ trades. Zero focus on profit.
3. **M3:** First expectancy computation over 100+ trades. Identify your 1-2 highest-expectancy setups; cut the rest.
4. **M4:** Trade only those setups. Measure again. Target: net expectancy > 0.
5. **M5:** Tighten risk to 1%/trade; reduce trade count; watch net expectancy rise as costs fall.
6. **M6:** First quarterly review. Check all four scaling gates. Provision advance tax (15 Jun / 15 Sep instalments).
7. **M7:** If gates green, scale to 2 lots. If not, repeat M4-6 — do **not** force it.

8. **M8:** Hold size, focus on drawdown control and > 90% rule adherence.
9. **M9:** Second quarter review; three-green-month check; consider a second uncorrelated setup.
10. **M10:** Refine execution; measure slippage; optimise which setups/timeframes give best net edge.
11. **M11:** Stress-test in a different regime (high India VIX / event week). Confirm edge survives.
12. **M12:** Full-year review: annual P&L net of costs, tax filing prep (ITR-3), a verified track record, and a written plan for year two's capital step.

Capstone drill: Print the four scaling gates and pin them above your screen. Every month-end, mark each red/amber/green from your journal — not your memory. You may only increase size when all four are green for three consecutive months. This one rule, followed honestly, is what separates the durable minority from the 90%.